

Calderwood Partners LLC

www.calderwoodpartners.com

March 22, 2021

Mark Villegas, Chief Financial Officer, Garcia-Werner

Re: Back-Office Automation for Garcia-Werner

Dear Mr. Villegas,

This letter confirms the engagement and records the terms we will work under. What we have agreed to settle is one question: which of the routine back-office tasks that Garcia-Werner now performs by hand can be handled by software instead, and of those, which are worth changing and in what order. The scope, the people, the fee, and the standard terms that accompany our work follow, so that both sides begin from a single reading of what we have undertaken.

What the engagement covers

The engagement examines the transactional back-office functions that run under your office: the processing of payables and receivables, routine reconciliations, expense and payroll administration, the procurement paperwork, and the handoffs between them. We will document how each of these is performed today, measure the volume and effort it consumes, and pick out the steps that are repetitive and rule-based enough to be carried by software. From that we will produce a ranked set of automation opportunities, each with an estimate of the effort to put it in place and the time or cost it would return, and a recommended sequence for taking them on. We will not put a change forward without showing the working behind it, and where the underlying records are thin we will say so rather than present an estimate as a measurement.

Two matters sit outside this letter. We are not being retained to build or install the automation itself; our work ends with a tested set of recommendations and a sequence that your teams, or an implementation partner of your choosing, can act on. And we are not conducting a procurement: where a recommendation points to a category of software, we will describe the category and what it must do, but the selection and negotiation of a particular product is a separate matter we would take up under a separate letter if you wished.

How we will go about it

The work runs in two parts over roughly four months. In the first we establish an accurate current-state picture: how the back-office processes actually run, what volumes pass through them, and where time and effort accumulate. This rests on your operating records and on time with the people who do the work, and it depends on reasonable access to both. Our associates will send a first, specific data request in the opening days, and we would ask that one person on your side be named to route those requests, so that neither team

loses time finding the right contact. In the second part we take the opportunities the diagnosis exposes, weigh them against effort and return, and set out a target design and a transition outline. We will test each recommendation against the volumes you actually carry before it reaches you.

Who will do the work

Pamela Miller and Matthew Parrish, both Research Associates of the firm, will carry the analysis and prepare the written record you receive between our formal reviews. I will stay close to the engagement and will read everything that leaves this office under the firm's name. You should expect working sessions with your team, minutes of those sessions, status reports written for you at regular points, and a briefing to your wider group once the analysis is firm enough to defend. Your point of contact on anything touching the substance of the work will be Pamela Miller; anything touching the terms of this letter comes to me.

Fee and start date

Our fee for the engagement is a fixed fee of \$33,500, which covers the whole of the work described above. It is not a rate billed against hours, and it will not change unless the scope itself changes and we record that change in writing. We propose to begin on April 1, 2021, and the engagement is planned to run about four months from that point, with the pace of the later weeks depending in part on how quickly the operating records can be made available to us.

Fees and payment

The fixed fee of \$33,500 will be invoiced in equal monthly installments across the term, each invoice payable within thirty days of its date. Reasonable travel and out-of-pocket expenses incurred in the course of the work are billed at cost, itemized on the relevant invoice, and are not part of the fixed fee. We will not commit any single expense above a modest threshold without your agreement in advance.

Term and termination

The engagement begins on the date named above and continues until the work is complete or the parties agree in writing to end it. Either party may terminate on thirty days' written notice. If the engagement ends early, the fixed fee is prorated to the work performed to the date of termination, and expenses properly incurred to that date remain payable. Any work product prepared before termination is available to you on the same terms as work delivered at completion.

Confidentiality

Each party will treat as confidential the non-public information it receives from the other in the course of the work, will use that information only for the purposes of the engagement, and will not disclose it to a third party without the other's consent, except where disclosure is required by law. The obligation outlasts the engagement. We will limit access to your information to the members of our team who need it for the work, and we will return or destroy it at your request when the engagement closes.

Limitation of liability

Our advice is prepared for the use of Garcia-Werner in connection with this engagement and should not be relied upon by any other party or for any other purpose. Our aggregate liability arising out of or in connection with the engagement, whether in contract, in tort, or otherwise, is limited to the fees paid to us under this letter, except in the case of our fraud or willful misconduct. The decisions taken on the strength of our work remain yours to make.

Governing law

This letter and the engagement it describes are governed by the law of the state in which the firm maintains its principal office, and any dispute arising under it will be resolved in the courts of that state. If any provision of this letter is found unenforceable, the rest of it stands.

If these terms are acceptable, please countersign below and return one copy to us. The signed letter will stand as our agreement, and we will make arrangements to begin on the date named above. Should any provision here read as unclear, raise it with me before the work starts and we will settle it plainly.

Yours sincerely,

Julie Ramsey

Managing Principal

Date: March 22, 2021

Mark Villegas

Chief Financial Officer, Garcia-Werner

Date: March 22, 2021